

REDINGTON LIMITED – LEVERAGED BUYOUT INVESTMENT MEMO

Executive Summary

This memorandum evaluates the acquisition of Redington Limited through a Leveraged Buyout (LBO) transaction. The analysis assesses transaction feasibility, capital structure, operating performance, debt repayment capacity, and sponsor returns over a five-year investment horizon.

Based on the assumptions outlined in this analysis, the transaction generates an attractive projected return profile of **4.3x Money-on-Money (MoM) Return** and approximately **34% Internal Rate of Return (IRR)**, supported by revenue growth, EBITDA expansion, and debt deleveraging.

Company Overview

Redington Limited is one of India's leading technology distribution and supply chain solutions companies, serving a diversified portfolio of global technology brands across India, the Middle East, Africa, and other emerging markets.

The company operates an asset-light business model focused on technology products, cloud services, mobility solutions, and enterprise distribution. Its extensive distribution network, strong customer relationships, and cash-generative operating model provide a stable foundation for leveraged acquisitions.

Key Investment Highlights

- Market-leading technology distribution platform across India, Middle East, and Africa.
 - Diversified customer and vendor base reducing concentration risk.
 - Asset-light business model generating consistent operating cash flows.
 - Established supply-chain infrastructure with significant scale advantages.
 - Strong deleveraging potential driven by cash flow generation.
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Investment Thesis

1. Market Leadership and Scale

Redington has established itself as one of the largest technology distributors in its operating regions. Its scale, distribution capabilities, and vendor relationships create significant competitive advantages and barriers to entry.

2. Strong Cash Flow Generation

The company has historically demonstrated stable operating cash flow generation, supporting debt servicing requirements and enabling meaningful deleveraging during the investment period.

3. Operating Growth Potential

Revenue growth is expected to be driven by increasing technology adoption, cloud infrastructure expansion, enterprise digitization, and continued growth in emerging markets.

4. Attractive Value Creation Opportunity

The transaction creates value through a combination of EBITDA growth, debt reduction, and multiple expansion, resulting in significant equity value creation for sponsors.

Transaction Structure & Returns Analysis

Transaction Structure

Metric	Value
Enterprise Value	INR 9,096 Cr
Debt Financing	INR 5,567 Cr
Sponsor Equity	INR 3,711 Cr
Holding Period	5 Years
Entry EV / EBITDA	8.0x
Exit EV / EBITDA	8.5x

The acquisition is financed through a combination of sponsor equity and debt financing, with debt representing approximately 60% of total transaction funding.

Operating Assumptions

Revenue Growth

- FY26E: 15%
- FY27E: 12%
- FY28E: 10%
- FY29E: 8%
- FY30E: 7%

EBITDA Margin Expansion

- FY25A: 2.33%
- FY30E: 2.80%

Debt Repayment

The model assumes annual debt repayment of INR 500 Cr, reducing outstanding debt from approximately INR 5,067 Cr to INR 2,567 Cr by the end of the investment period.

Returns Analysis

Metric	Value
Exit Enterprise Value	INR 19,055 Cr
Exit Equity Value	INR 15,990 Cr
Money-on-Money Return	4.3x
Internal Rate of Return	34%

The projected returns are primarily driven by EBITDA growth, operational scaling, debt paydown, and modest exit multiple expansion.

Key Risks

Margin Compression Risk

Competitive intensity or pricing pressure could negatively impact EBITDA margins.

Technology Demand Slowdown

Lower-than-expected technology spending may reduce revenue growth.

Interest Rate Risk

Higher borrowing costs may reduce equity returns and debt repayment capacity.

Execution Risk

Failure to achieve projected operating improvements could adversely affect transaction performance.

Recommendation

Based on the base-case assumptions, the proposed acquisition generates attractive sponsor returns, achieving approximately **4.3x MoM Return** and **34% IRR** over a five-year investment horizon. The transaction demonstrates strong value creation potential supported by operating growth, deleveraging, and stable cash flow generation, making Redington Limited an attractive LBO candidate.